

**Before the
FEDERAL MARITIME COMMISSION**

Docket No. 24-09

TZ SSE Buyer, LLC,

Complainant,

v.

COSCO Shipping Lines Co. Ltd.,

Respondent.

RESPONDENT'S OPPOSITION BRIEF

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INTRODUCTION

If Complainant's claims look familiar, it is because they are. Complainant made much the same claims in *TZ SSE Buyer, LLC v. Yang Ming Marine Transport Corp*, Dkt. No. 24-10, 2025 WL 1083815 (F.M.C.) ("*TZ v. Yang Ming*"). There, the Presiding Officer held, as other ALJs have, that a claim for unreasonable detention or demurrage charges cannot succeed based on assertions of general congestion. Instead, a complainant can only meet its burden of proof if it makes the requisite showing, discussed below, for individual shipments and charges. The Presiding Officer accordingly found a violation and awarded reparations for only a few of the charges imposed by the respondent – those where TZ provided specific information showing that it could not return containers on particular days -- dismissing the remainder on the basis of TZ's failure to meet its burden of proof to demonstrate unreasonableness through a shipment-by-shipment, day-by-day analysis. The Presiding Officer further rejected TZ's claim of an unreasonable refusal to deal or negotiate by the ocean carrier because TZ had failed to document any specific request to the respondent as to which respondent had failed to respond.

Complainant's case is also familiar because it is merely one among a stream of cases (including others brought by TZ listed on the Commission's website) positing the same assertion – that conditions of general congestion make all charges for detention or demurrage unreasonable, without need to demonstrate for any specific shipment and any specific day for which a charge was assessed that: (a) complainant could not pick up or return the container on a particular date or dates for reasons beyond its control, and (b) that the charge imposed by the ocean carrier was not capable of incentivizing timely pick up or return. In each of those cases, listed in the margin, the ALJ held that an award of reparations could not be sustained in the absence of a shipment-by-

shipment analysis sufficient to meet the complainant's burden of proof.¹ Accordingly, in each of those cases, reparations, if granted at all, were limited to specific shipments/charges as to which the complainant made an individualized showing sufficient to meet the Commission's standards and not those shipments/charges as to which the complainant did not provide specific, individualized evidence.

In this case, TZ has not proffered any evidence regarding the specific reason why there was a delay in the pickup or return of any specific containers, beyond putting in the invoices it received from its logistics provider Laufer and COSCO's master bills of lading showing Laufer as consignee. But these just show that COSCO carried the shipments and that Laufer billed TZ for various charges. Neither says anything about the circumstances of the shipments and, in particular, says nothing about the cause or nature of the delay.

Obviously recognizing that this is insufficient under the Presiding Officer's holding in *TZ v. Yang Ming* (and the holdings in multiple other cases), TZ attempts to bridge the gap by a less-than-truthful request for adverse inferences. But as demonstrated below, those requests are unsupported by reality, and even if they were granted, they would do nothing to show that Complainant was unable to pick up or return a single container within the allotted free time, much less that the charge was incapable of incentivizing more timely movement. The Presiding Officer has also seen and rejected this type of end run around the burden of proof. *Visual Comfort & Co.*

¹ *TZ SSE Buyer, LLC v. Yang Ming Marine Transport Corp.*, Dkt. No. 24-10, 2025 WL 1083815 (Initial Decision March 24, 2025, admin. final April 24, 2025); *Visual Comfort & Co. v. COSCO Shipping Lines Co., Ltd.*, Dkt. No. 24-01, 2025 WL 1662697 (I.D. April 28, 2025, admin. final May 29, 2025); *Access One Transport, Inc., v. COSCO Shipping Lines Co., Ltd.*, Dkt. No. 24-13, 2025 WL 1675843 (I.D. June 6, 2025, admin. final July 8, 2025); *Samsung Electronics America, Inc. v. ZIM*, Dkt. No. 22-30, 2025 WL 1255544 (I.D. April 22, 2025); *Samsung Electronics America, Inc. v. SM Line Corp.*, Dkt. No. 23-01, (Slip Op. at 54) (I.D. May 28, 2025).

v. *COSCO Shipping Lines Co., Ltd.*, Dkt. No. 24-01, (I.D. April 28, 2025, admin. final) 2025 WL 1662697 (F.M.C.) (“VCC”).

BACKGROUND

I. FACTS

The facts underlying this matter are addressed at length in Respondent’s proposed findings of fact (“RPFFs”) and responses to Complainant’s proposed finding of fact (“RCPFFs”), as well as the Appendices submitted by Respondent (“RX”) and Complainant (“CX”) incorporated herein by reference. As particularly relevant:

The charges alleged in the Complaint arose in 2021 and 2022. Complainant TZ SSE Buyer, Inc. (“TZ” or “Complainant”) purchased the assets (including these claims) of Supply Source Enterprises, Inc. (“Supply Source”), the parent company of original complainants Impact Products LLC (“Impact Products”) and Safety Zone LLC (“Safety Zone”), through bankruptcy proceedings in July 2024.² None of these parties – Impact Products, Safety Zone, Supply Source or TZ – were ever customers of COSCO. Nor did they pay any of the disputed charges to COSCO. Indeed, neither Supply Source nor Impact Products had any direct relationship at all with COSCO.

Supply Source apparently imported products from non-U.S. origins. To do so, they contracted with a third-party non-vessel-operating common carrier (“NVOCC”) named Laufer Group International (“Laufer”). COSCO did not have a service contract with Laufer and so, like Supply Source, there was no direct contractual relationship between COSCO and Laufer. Rather, shipments relating to Supply Source were carried by COSCO pursuant to service contracts between COSCO and suppliers (shippers) at foreign origins. As demonstrated by the bills of

² Unless otherwise stated or indicated by context, references herein to TZ include Supply Source, Safety Zone, and Impact Products.

loading issued by COSCO to those shippers, these shipments were carried by COSCO for the shippers in Asia on a container yard (“CY”) basis, meaning that COSCO’s responsibility for the shipment ended as soon as COSCO made the container available to the consignee (Laufer) at the marine terminal container yard or local rail head. After that, Laufer and TZ were responsible for any further transportation, which was done via truckers hired by TZ or Laufer.

Testimony provided in Supply Source’s proceedings before U.S. Bankruptcy Court for the District of Delaware demonstrates that during the Relevant Period, Supply Source’s “financial performance began to decline” for multiple reasons, including over-ordering, resulting in “large amounts of excess inventory that [Supply Source] could no longer sell at the same quantities for the same prices” where Supply Source “did not have adequate capacity to store the excess inventory they had.” [RPFFs 15, 16] As a result, TZ was frequently without capacity to store new shipments that were delivered to destination by COSCO, so was often unable to accept delivery and instead used various methods to slow the movement of cargo once delivered to the container yard, including delaying pickup of containers past the free time allowed by the terminal and/or COSCO, using pre-pulls to store containers at their truckers’ yards, and other means. (CX_000712, CX_000744, CX_000759). Eventually, as described to the Bankruptcy Court, the problem of excess inventory rendered TZ non-competitive, and it decided to liquidate. It now seeks to recoup from COSCO the results of its own mismanagement.

Containers that are removed late from a marine terminal or returned to a designated facility after free time, incur charges (late fees). The fee for late pickup is called demurrage, which may be charged by either or both the marine terminal and the ocean carrier, and which compensates the terminal for use of its space and the ocean carrier for use of its equipment. The late fee for failure to make timely return of an ocean carrier’s containers is called detention, and like ocean

carrier demurrage, it compensates the carrier for use of its container. Both charges are also designed to incentivize timely pick up or return of containers.

The terms and conditions of demurrage and detention applicable to shipments for Supply Source/TZ, including the free time to be allowed before charges began to accrue, were set by the service contracts between COSCO and the foreign suppliers and the applicable COSCO tariff. [RPFFs 52, 59].

During the course of the relevant period, there were times when TZ /Laufer/their truckers either picked up loaded containers or returned empty containers, after free time had expired, for which they were charged demurrage or detention. There is no evidence in the record showing why any particular container was picked up or returned late, so likewise there is no evidence showing that the delay for a particular container was caused by COSCO or even that the delay resulted from circumstances beyond the control of TZ/Laufer/their truckers. Further TZ has made no showing (other than for shipments COSCO waived) that TZ/Laufer/their truckers ever requested extra free time or used COSCO's publicly announced process for seeking waiver/refund of charges. [RPFF 70].

Most of the charges challenged by TZ are unexplained charges for "yard storage." (Compl. ¶ 14,"yard storage charges on 312 containers.")). These claims are based exclusively on invoices Laufer sent to TZ. But there is no explanation in those invoices or otherwise in the record as to what these Laufer charges were for or who invoiced them to Laufer. It was certainly not COSCO, which does not provide any storage or assess any "yard storage" fees. (CX_001364, Takase Dep. Tr. 29:8-11) They are thus a total mystery, which Complainant has made no attempt to unravel, much less succeed in doing so.

II. PROCEDURAL HISTORY

The Complaint initiating this proceeding was served on Respondent on February 14, 2024. The initial Complainants were Impact Products, LLC and Safety Zone, LLC. On March 11, 2024, COSCO moved to dismiss the Complaint, asserting Complainants lacked standing to seek reparations as they were not direct purchasers of COSCO's services. By order of May 24, 2024, the Presiding Officer denied COSCO's motion, having allowed Complainants to serve an Amended Complaint on May 17, 2024, which included an assignment of claims from Laufer, the alleged direct purchaser.

On September 27, 2024, Complainants moved for leave to file a Second Amended Complaint and to extend the discovery schedule, explaining that on May 21, 2024, the original Complainants had filed for Chapter 11 bankruptcy and that TZ Buyer SSE, LLC purchased and became the owner of all of Complainants' assets, including the instant claims. Over COSCO's objections, the motion was granted on October 16, and the Second Amended Complaint ("Complaint") was served on October 17, 2024.³ COSCO answered the Second Amended Complaint on November 4, 2024.

In reviewing TZ's claims in the Second Amended Complaint, Respondent discovered that a substantial portion of the shipments as to which the Complaint sought reparations were outside the jurisdiction of Commission because they were unloaded from the COSCO vessel at ports in Canada, never passing through ports in the United States. Respondent conferred with counsel for Complainant, including presentation of dispositive case law demonstrating the lack of FMC jurisdiction. Complainant nevertheless declined to voluntarily withdraw such non-jurisdictional

³ Unless other specified or required by context, references herein to the Complaint mean the Second Amended Complaint.

shipments, so COSCO was required to move for partial summary judgment, which it did on March 11, 2025. That motion was granted by the Presiding Officer on June 2, 2025 (Admin. Final July 3, 2025), based on the very caselaw COSCO had proffered to TZ.

On April 11, 2025, TZ moved to compel COSCO's responses to several of its discovery requests and on May 15, 2025, TZ's Motion to Compel was granted in part and denied in part. As detailed below in response to Complainant's unfounded request for evidentiary inferences, COSCO responded fully to each TZ discovery request as to which responses were compelled.

Complainant submitted its Opening Brief ("Brief") on June 18, 2025. It was discovered soon thereafter that there was a time error in the production of certain provisions from COSCO's tariff. COSCO corrected that error on July 10, 2025, and on July 18, 2025, Complainant submitted a Supplemental Brief ("SuppBrief"), as authorized by the Presiding Officer's Order of July 8, 2025.⁴

SUMMARY OF ARGUMENT

COSCO demonstrates below that Complainant has failed to meet its burden of proof as to either a violation of the Shipping Act or a right to reparations. In particular, COSCO shows:

Complainant's plea for evidentiary inferences is both unfounded and futile. It is unfounded because, as a factual matter, COSCO has produced all of the documents it was required to produce. Other documents that TZ claims COSCO failed to produce are simply and unequivocally not within COSCO's possession or control. As the assignor of Laufer, TZ could have obtained these third-party documents from Laufer at any time.

⁴ Issues raised by the Supplemental Brief are addressed herein.

Complainant's plea for inferences is futile because, even if granted, TZ would, under uniform precedent, still have failed to meet its burden of proof. As such precedent demonstrates, for a party to assert the unreasonableness of detention and demurrage charges, it must produce a shipment-by-shipment, day-by-day, charge-by-charge, analysis proving that: (i) the party was unable to pick up or return a particular container on a specific day for reasons beyond its control, and (ii) the particular charge for that specific day was incapable of incentivizing earlier pickup or return. TZ has done nothing to provide such an analysis, so the requested inferences, even if granted (which they should not be), could not fill that gap.

Count I of the Complaint avers that Respondent violated 46 U.S.C. § 41102(c) by an unreasonable practice of assessing detention and demurrage charges at a time when ports were generally congested, and it was difficult for all shippers, consignees, and truckers to timely pick up import cargo or return empty containers. Complainant's implicit argument, like that of multiple other failed complaints, is that, because of congestion, it was unreasonable for any ocean carrier to impose demurrage or detention fees on import cargo, and thus a violation may be found based on the mere fact that there was general port congestion during the relevant time period. But this is insufficient, as the Presiding Officer determined in another, virtually identical, case brought by TZ against another ocean carrier – Yang Ming. In that case, the Presiding Officer held that Complainant had not proven its case, except for certain charges on specific shipments as to which there was particularized evidence in the record excusing complainant from the delay:

Applying the fact-specific, container-by-container analysis used in Hapag-Lloyd, A.G., I find that Complainant ***does not carry its burden*** of showing that the charges at issue are unjust or unreasonable as to almost every claim related to the 245 container shipments over which the Commission has jurisdiction. Complainant's evidence of widespread congestion, including witness testimony, exemplar email chains describing congestion and equipment shortages, and testimony that Supply Source never experienced charges of this magnitude before 2021-2022 ***is not***

persuasive. *TZ v. Yang Ming*, *supra*, 2025 WL 1083815, at *20 (footnotes and citations to the record omitted, emphasis added).

The Presiding Officer reached the same result – that a violation may be shown only by a shipment-by-shipment analysis and may not be based on claims of “general congestion” – in two other cases – *VCC*, *supra*, and *Access One Transport, Inc. v. COSCO Shipping Lines Co., Ltd.*, Dkt. No. 24-13 2025 WL 1675843 (I.D. (June 6, 2025, admin. final July 8, 2025), (“*AOT*”). And the FMC’s other ALJs agree. *See, e.g., Samsung Electronics America, Inc. v. ZIM*, Dkt. No. 22-30, 2025 WL 1255544 (I.D. April 22, 2025) (“*SEA v. ZIM*”); *Samsung Electronics America, Inc. v. SM Line Corp.* Dkt. No. 23-01 (Slip Op. at 54) (I.D. May 28, 2025) (“*SEA v. SM*”).

Having failed to make any evidentiary showing about specific shipments, TZ falls back again and again on vague and generalized accusations regarding Respondent’s alleged practices. None of those newly-concocted claims was made in the Complaint and they certainly have not been litigated by consent. Accordingly, the Presiding Officer has no authority to address them. But even if he did, such new claims are simply an attempted evasion of the requirement to show that specific charges for specific shipments on specific days were unreasonable. Furthermore, even if those purported “practices” were to be found unreasonable, there is no showing that the broad practices, as opposed to specific charges, caused the injury. *SEA v. ZIM*.

Count II of the Second Amended Complaint avers that Respondent’s actions in assessing detention and demurrage charges constituted unreasonable refusals to deal or negotiate with the Complainant’s predecessors, in violation of 46 U.S.C. § 41104(a)(10). This claim has been raised by complainants (including TZ) in most of the cases asserting generalized unreasonable detention and demurrage violations. The argument has thus far been uniformly rejected – being either

dismissed for failure to state a claim or denied on the merits. In particular, the Presiding Officer held, in *TZ v. Yang Ming* (at *24):

“For there to be a refusal to deal or negotiate, there must be: “an affirmative act by a party to deal or engage in negotiations with the common carrier.” Complainant does not carry its burden of demonstrating that there was any attempt by LGI or Supply Source to deal or negotiate with Respondent regarding the charges at issue. . . . There is no other evidence in the record of any request by LGI or Supply Source for an accommodation. Therefore, Complainant does not carry its burden of proof. (Citations to briefs and record omitted).

As in the *Yang Ming* proceeding, TZ has again failed to identify any specific requests made by TZ or its assignor Laufer to COSCO that were denied by COSCO. TZ has identified a small number of apparent requests, but each was **granted** by COSCO, hardly an indicium of a refusal to deal or negotiate, much less an unreasonable refusal.

Because TZ has failed to make out any violations of the Shipping Act by COSCO, an award of reparations is necessarily foreclosed. But even assuming an imaginary violation, a shipment by-shipment is necessary to prove that TZ suffered an “actual injury” proximately caused by such fictitious violation. This, too, TZ fails to demonstrate.

Thus, both Counts of the Complaint must be dismissed with prejudice, no reparations may be awarded, and the proceeding must be terminated.

ARGUMENT

I. THERE IS NO BASIS FOR DRAWING ADVERSE INFERENCES

TZ begins the argument section of its Brief not by addressing the merits of its case, which TZ obviously recognizes as inadequate, but rather by a long section asking the Presiding Officer to ignore TZ’s failure to meet its burden of proof and instead reach conclusions out of thin air, based on presumed inferences contrary to law and fact. Complainant’s misrepresentations continue

unabated in its SuppBrief. We show below that there is no plausible basis for TZ's extraordinary request and that, even if the presumptions were improperly granted, they would not save the day.

Complainant's futile claims are all based on the false assertion that COSCO failed to produce discovery materials it was required to produce under the former Presiding Officer's May 15, 2025 Order Granting in Part Complainant's Motion to Compel ("Discovery Order"). As the Presiding Officer is well aware, and as we demonstrate below, COSCO in fact produced everything that was required of it, and duly and comprehensively fulfilled its discovery obligations.⁵ Accordingly, there is no basis for the Presiding Officer to tilt the playing field by creating fictitious evidentiary inferences.

The imposition of adverse inferences is a severe sanction reserved for clear instances of willful noncompliance with discovery obligations, and it is not to be deployed lightly or without substantial justification. *See, e.g.*, 46 C.F.R. § 502.502(b); *Peloton Interactive, Inc. v. Flexport Int'l LLC*, Dkt. No. 24-19, 2025 WL 1255547 at *2 (ALJ, Apr. 22, 2025) (cautioning that sanctions, including adverse inferences, are appropriate only upon demonstrated failure to adhere to a compulsion order). Courts and administrative tribunals alike emphasize that such measures must be proportionate to the alleged misconduct and supported by concrete evidence of prejudice or intent to obstruct. *See, e.g.*, *McDowell v. Gov't of the Dist. of Columbia*, 233 F.R.D. 192, 200-01 (D.D.C. 2006) (applying Fed. R. Civ. P. 37(b) factors)); *Atl. Richfield Co. v U.S. Dep't of Energy*,

⁵ As Respondent has acknowledged, it originally produced copies of its detention and demurrage tariff provisions for the present, rather than the dates at issue COSCO produced the correct versions on July 10, 2025, and the Presiding Officer authorized TZ to address any arguments flowing from the corrected versions in its SuppBrief, which it has done. TZ has not pointed in its SuppBrief to any substantively meaningful differences between the tariffs.

769 F.2d 771, 794 (D.C. Cir. 1984) (affirming agency authority to draw adverse inferences for noncompliance but requiring proportionality).

Here, no such foundation exists. Complainant's plea for judicial intervention is predicated on baseless accusations of discovery evasion, ignoring Respondent's full and timely compliance with the Discovery Order. Other than an already-remedied error regarding tariff provisions, Respondent fulfilled every directive of the Discovery Order.

As Chief Administrative Law Judge Wirth has cogently articulated, "[a]n adverse inference will not apply to discovery that Respondent answered and may not be sufficient to establish facts in the absence of any evidence suggesting that such discovery exists." *Rana v. Franklin*, FMC Dkt. No. 19-03, 2020 WL 948584, at *1 (ALJ, Feb. 12, 2020). This principle is dispositive: Adverse inferences cannot be drawn from speculative assertions of deficiency absent affirmative proof that additional responsive materials exist and were deliberately concealed. *See, e.g., Qi Qing Weng v. Hana Japanese Steakhouse, Inc.*, 2020 WL 10231344, at *3 (E.D. Tenn. 2020) (adverse inferences require evidence of intentional noncompliance benefiting the withholding party); *Cnty. Hosps. of Cent. Cal. v. NLRB*, 335 F.3d 1079, 1086-87 (D.C. Cir. 2003) (upholding inference only where nonproduction was proven prejudicial). Complainant's claims rest on conjecture of counsel, not evidence, and fail to demonstrate that Respondent's diligent compliance omitted extant documents in Respondent's possession or control that Respondent deliberately declined to produce and that would have been favorable to Complainant.

As demonstrated immediately below, Respondent supplied Complainant with all documents and other responses called for by the Discovery Order. Specifically:

- Respondent produced a total of 115 invoices pertinent to the shipments at issue. COSCO_0000005-COSCO_0000006; COSCO_0001165-COSCO_0001174; COSCO_0001814-COSCO_0001854; COSCO_0001855-COSCO_0002138; COSCO_0002140-COSCO_0002157; and COSCO_0002189-COSCO_0002191.
- Respondent produced a total of 302 bills of lading. COSCO_0001175-COSCO_0001373; and COSCO_0001661-COSCO_0001812.
- Respondent produced all relevant service contracts during the Relevant Period. COSCO_00000010-COSCO_0000863.
- In addition to the invoices, bills of lading, service contracts, and tariffs, Respondent produced all relevant Freshdesk portal communications, relevant Excel spreadsheets, and COSCO payment records. COSCO_0000001-COSCO_0000004; COSCO_0000864-COSCO_0001164; COSCO_0001374-COSCO_0001660; COSCO_0001813; COSCO_0002139; COSCO_0002188.
- Respondent produced the COSCO tariff provisions for detention and demurrage covering the relevant time period. COSCO_0002207- COSCO_0002439.
- Respondent provided detailed information to Complainant on the specific instructions that COSCO included in its invoices for disputing detention/demurrage charges. CX_002334- CX_002337.

All such searches by COSCO and resultant productions were conducted in good faith and in accordance with 46 C.F.R. § 502.141. In total, COSCO produced every invoice, bill of lading, and related shipping record within Respondent's custody, possession, or control.

Complainant boldly and wrongly asserts that COSCO maintained other requested records that it failed to produce (SuppBrief at 2), but it adduces no evidence that any such records were created, maintained, or withheld by COSCO. This failure by TZ is on its own fatal to Complainant's request for adverse inferences. *See Worldwide Relocations, Inc.*, 2012 WL 11914713 (F.M.C.) at *5 (ALJ, Mar. 15, 2012) (discovery sanctions may be imposed only upon clear proof that other party withheld materials unfavorable to its position). Instead, Complainant makes a series of unsupported claims about imaginary documents that it erroneously asserts COSCO did not produce. We rebut each of those claims *seriatim*.

A. Respondent Has Fully Complied with the Discovery Order

1. **Tariffs/Demurrage and Detention Policies.** Complainant erroneously presumes and baselessly alleges that COSCO has deliberately withheld internal demurrage or detention policies applicable to the pertinent period of 2021-2022. On the contrary, during the relevant timeframe, COSCO's operative demurrage and detention policies were fully embodied in COSCO's demurrage and detention tariffs, which were duly produced to Complainant. 002300-CX_002329.⁶ As the Presiding Officer knows, COSCO does not maintain policies on demurrage and detention other than its tariffs.

Complainant correctly notes that Respondent produced twelve demurrage and detention tariffs on July 10, 2025, but incorrectly states the dates for those tariffs. SuppBrief at 2. Respondent produced detention tariffs as of three separate dates, collectively encompassing all dates from October 1, 2019, through December 31, 2022. COSCO_0002427-COSCO_0002439. Respondent

⁶ The Presiding Officer should note that Complainant included in its Appendix only Respondent's 2024 Demurrage and Detention tariff provisions, but Respondent made an additional production in which it produced twelve additional demurrage and detention tariffs for the relevant periods of the Complaint.

also produced nine (9) demurrage tariffs covering all dates from April 21, 2020, through December 31, 2022. COSCO_0002207-COSCO_0002426.

Complainant asserts that Respondent produced no demurrage or detention tariffs for 2021. That claim is patently erroneous and reflects TZ's apparent misunderstanding of how tariffs work. They are not, as Complainant appears to believe, annual documents such as annual reports or yearly service contracts. Rather, each provision of a tariff operates on a rolling basis. That is, once a provision is added to the tariff, it remains in place indefinitely until replaced – which means a particular provision may be in effect for two days, two months, two years, two decades, or any other period. Thus, the tariff provisions for 2020 remained in effect for 2021 and until they were revised (and therefore replaced) in 2022 (as produced to Complainant).

Moreover, as stated above, these tariff provisions are also COSCO's internal policies. Respondent does not have any non-tariff policies or other internal policies that it failed to produce. In implementing the tariff provisions, COSCO's only other policy is to follow to the best of its ability the regulations and precedents of the FMC, but that is not set out in any specific policy document. Respondent maintains no discrete internal policies regulating the invoicing of demurrage and detention beyond its publicly filed tariffs and the Shipping Act and FMC regulatory provisions.

2. **COSCO Invoices**. As Respondent has informed the Presiding Officer, COSCO produced all demurrage and detention invoices that it issued and could retrieve relating to the shipments at issue (as identified by Complainant).⁷ Accordingly, any assertions by

⁷ There may be one or two invoices that either do not exist or could not be retrieved. We suspect the former reason but cannot be certain.

Complainant regarding COSCO's purported failure to produce such invoices are manifestly false and misleading. Ergo, no adverse inferences are warranted in this regard.⁸

3. **Invoices of Third Parties.** Complainant asserts, without support, that COSCO failed to produce demurrage invoices *issued by* marine terminals that included both terminal charges and COSCO charges (collected by the marine terminal). But COSCO does not ever receive, nor does it have, copies of those terminal invoices. Rather, the terminal collects the total demurrage and remits some part of it to COSCO on a monthly basis. (CX_001363, Takase Dep. Tr. 22:15-25, 23:1-14). Because COSCO did not receive copies of those terminal invoices, its visibility into the terminal's actions is strictly limited to the specific amounts collected by the terminal from the customer. The "COSCO DEM" column in Respondent's spreadsheet, denoted as Complainant's Exhibit 12, reflects any demurrage charges visible to COSCO, irrespective of whether such charges were invoiced directly by COSCO or by the terminal on behalf of COSCO.

Furthermore, the fact that COSCO could adduce some additional information about the precise location of the cargo (*i.e.*, which the marine terminal issued the demurrage invoice), relating to the shipment and provided such information to TZ in response to TZ's multitudinous interrogatories, says nothing as to whether COSCO issued all the demurrage invoices (which it did not). Such information can readily be gleaned from the Arrival Notices that COSCO sent to Laufer and that were among the documents TZ itself produced. CX_001666-CX_002138.

Notwithstanding repeated explanations by COSCO, Complainant persistently misrepresents how the invoicing and collection of demurrage charges by marine terminals takes place. When a container is unloaded at destination and made available for pick up, the consignee

⁸ Invoices from Laufer to TZ could have included other charges that Laufer was imposing or passing on. But these were not COSCO charges, so only Laufer and the original invoicer would have the underlying invoice, not COSCO.

or its trucker has a certain number of days in which to remove the container from the terminal without any charge ("free time"). CX_001364 (Takase Dep. Tr. 26:12-25, 27:1-2). If the consignee/trucker fails to remove the container in a timely manner, both the ocean carrier and the terminal are injured – the terminal by extended use of its land and the ocean carrier by extended use of its equipment. Each may send a demurrage invoice to the consignee or other designated entity. Alternatively, one of them may send an invoice for both the carrier and the terminal, collect the combined demurrage, and remit a portion to the other.

This industry-typical method of billing demurrage is used by multiple terminals and ocean carriers and was used by COSCO and some of the specific terminals involved with the relevant shipments. The terminal was of course privy to COSCO's demurrage rates, so for any container removed after free time, the terminal would calculate the amount due to each of the terminal and COSCO, and would send an invoice to the billed party for both COSCO and itself. The terminal would collect the demurrage, retain its share and a part of COSCO's, and make a payment to COSCO. COSCO never issues any invoices in this situation. Nor does COSCO receive a copy of the invoice sent to the consignee by the terminal, although, as stated above, COSCO can see what its share of any invoice was.

When Complainant references the "Notes/Remarks" column in Exhibit 12—specifically the notation "terminal collect on behalf of COSCO"—this merely delineates, as summarized immediately above, that the terminal collected demurrage both on its own behalf and on behalf of COSCO and remitted the portion stated in that column to COSCO. This process was explained to Complainant by COSCO representative Tom Takase during his deposition. CX_001363 (Takase Dep. at 22:15-25, 23:1-14). Accordingly, Complainant's assertion that COSCO has

previously claimed that such charges were assessed independently by the terminals is patently untrue.

Regarding the invoices Complainant contends remain unproduced, COSCO reaffirms that the seventeen invoices listed in the SuppBrief were not issued by COSCO, but rather by the terminal and that COSCO does not have, and never has had, such invoices in its possession or control, so cannot produce them.⁹

Moreover, even if COSCO had withheld these invoices – which it did not – that would still not justify the adverse inferences requested by TZ because such invoices say absolutely nothing about whether Complainant was or was not able to pick up or return containers for reasons beyond its control. This is confirmed by the fact that Complainant has made no such use of the invoices issued directly by COSCO that were produced to TZ. Accordingly, even if there were “missing documents” – which there are not – Complainant could not leverage them into support for the proposition that Complainant was unable to remove or return any specific containers on any specific date or dates.

Complainant further speculates without explanation that, but for the “missing documentation,” it would have been empowered to dispute the charges. SuppBrief at 5. That of course is nonsensical for multiple reasons. First, producing those “missing documents” *now* would not have empowered TZ to dispute the invoices in the period when they were sent – *years ago*. Second, nobody – not COSCO, not the terminal – sent invoices to TZ. As far as we know, all invoices were sent to TZ’s designated agent – Laufer, or various truckers hired by TZ/Laufer.

⁹ Complainant argues, without foundation, that COSCO must have the invoices because it has, and produced, the MBLs for such shipments. Brief at 8; SuppBrief at 3. But MBLs are *issued by COSCO*, and so reside in COSCO’s records, while the invoices were issued by marine terminals and have never been in COSCO’s possession or in its record systems.

Thus, TZ has been in constructive possession of all invoices all along. Moreover, TZ could have discovered those invoices directly by asking Laufer under the assignment agreement, or by sending subpoenas to Laufer and/or the terminals.

Complainant also avers that Laufer endeavored to dispute charges. But TZ has put nothing into the record supporting that claim and COSCO found no evidence of such requests by Laufer (or TZ), despite searching all locations where such records might reasonably be kept. Accordingly, Complainant has proffered nothing whatsoever to support its allegation that Respondent failed to adhere to and maintain consistent procedures for reviewing and resolving disputes. CX_001369 (Takase Dep. at 49:1-24).

4. **Documentation of Waivers.** Respondent has fully complied with the provisions of the Discovery Order relating to COSCO's waiver of certain charges. All such documentation was included in COSCO's twelfth production to Complainant, served on May 21, 2025. *See* Complainant's Exhibit 13 (CX_002277-CX_002278). In that production, Respondent included a spreadsheet delineating twelve TZ shipments for which COSCO had waived some or all of the charges. *See* Complainant's Exhibit 13, *supra*. That spreadsheet includes a column entitled "Reason," which explains that the charge was written off. On May 29, 2025, following a rigorous examination of its files, Respondent produced all records retrievable from its systems pertaining to the waived shipments, amounting to six underlying records substantiating the COSCO waivers. *See* Complainant's Exhibit 14 (CX_002279-CX_002299). Complainant's contention that Respondent produced merely two responsive documents is thus demonstrably false. Furthermore, Complainant's assertion that Respondent failed to produce documentation associated with

shipments BSIU9552230 and BMOU4494813 is likewise erroneous,¹⁰ as Respondent duly produced documentation for both – and these also appear in Complainant’s own exhibits. *See* Complainant’s Exhibit 14 (CX_002285 (produced by COSCO as COSCO_0002192); CX_002296 (produced by COSCO as COSCO_0002203)).

Complainant speculates without basis that there must be correspondence, internal approvals, or other supporting documents regarding the waived shipments. Indeed, there were, and COSCO produced them. Respondent performed a diligent search in all relevant locations and produced all responsive documents. If COSCO did not produce documents pertaining to a particular shipment, that means such documents either do not exist (the most likely explanation) or they were not retrievable from COSCO's systems.¹¹

Complainant has proffered no documents or other evidence indicating that Laufer submitted any waiver requests, and Respondent’s empty search results suggest that they did not. CX_001369 (Takase Dep. Tr. at 49:1-24). Complainant of course bears the burden of persuasion, and it has utterly failed to provide any evidence showing that waivers for all or any of the containers for which it now demands reparations were requested by TZ or by Laufer on TZ’s

¹⁰ We are somewhat concerned by TZ complaining (and even moving to compel) about alleged non-production of documents that COSCO in fact produced to TZ. *See, e.g.*, Complainant’s Exhibit 20 (CX_002433-CX_002436) (listing documents demanded by TZ but already produced by COSCO). Does Counsel for TZ not have an obligation to review documents that were produced before claiming non-production of those very same documents?

¹¹ Complainant also wrongly claims that four containers were assessed multiple charges consisting of demurrage, detention, per diem, and yard storage. Supp Brief at 1-2. But COSCO does not have or assess a charge called “yard storage.” As detailed below and as TZ’s assignor Laufer must surely know and TZ’s expert admitted, any charge for yard storage was necessarily issued by a third party (such as a trucker or terminal), not COSCO. As to the other charges, “per diem” is just another term for detention, so they would not both be charged at the same time. *See, e.g.*, CX_000045. It is perfectly plausible that a single container would incur both demurrage and detention charges – i.e., if the same container were both removed after free time and returned after free time. So TZ’s allegations mean nothing.

behalf. Consequently, all of Complainant's proposed adverse inferences concerning the waived shipments must be rejected for failure of proof. Respondent consistently maintained procedures for resolving disputes and waiver requests, as evidenced by the six records produced to Complainant (CX_002279–CX_002299; COSCO_0002189-COSCO_0002206) but Complainant did not use any of the six records in its Brief or SuppBrief.

As demonstrated above, COSCO responded to TZ's interrogatories regarding waivers and produced all documents relating to the waived charges, including a comprehensive spreadsheet containing a dedicated column "D" stating the basis for the waiver. TZ quibbles about not receiving documents underlying the waivers but as stated above, COSCO searched for those documents and provided all it found. TZ apparently disagrees but fails to demonstrate that such additional documents exist in COSCO's records. Nor does it explain why such documents, if they exist, would be relevant to TZ's claims. In particular:

a. If such documents exist, which we doubt, they were not found by COSCO's ESI searches. Respondent knows of no other reasonable way to find such possible documents, especially within the confines of the time constraints of this proceeding. It would be at least as difficult as finding Schrodinger's needle (which may or may not exist) in a haystack.

b. In any event, TZ has not demonstrated any prejudice from COSCO's inability to find documents that do not exist in its electronic systems and may not exist at all. COSCO's identification of waived charges is of course an admission and precludes COSCO from possibly seeking to collect any such charges. TZ has speculated that the documents might illustrate how COSCO made those decisions and thus might be used to argue that COSCO's failure to waive other charges was inconsistent and therefore unreasonable. This suggestion runs into multiple insuperable difficulties.

First, as demonstrated above, TZ has not shown that either it or Laufer (or the truckers they hired) actually sought a waiver of any specific charges. Complainant has produced no evidence of any non-imaginary requests and COSCO specifically searched all of the places where disputes by shippers might reasonably be located and found nothing related to the shipments identified by TZ. Complainant makes the strange argument that because COSCO keeps records of disputes, COSCO's failure to produce any such records relating to the designated invoices must reflect a deliberate withholding by COSCO. With due respect, logic compels a contrary conclusion. Both common sense and Occam's Razor say that the most rational conclusion is that no such records exist because neither TZ nor Laufer used COSCO's publicly announced process for raising disputes with COSCO. That is also the only conclusion consistent with the fact that COSCO searched all of the places where such disputes (including documentation and correspondence) would be found if they existed and came up dry.

Second, as the Presiding Officer explained at the status conference, possible differences among the results of different waiver requests do not make out a case for unreasonableness. In *AOT*, for example, the Presiding Officer entirely rejected the same sort of claim, stating:

The fact that Respondent canceled some detention charges on April 6, 2022, and not others, does not necessarily mean that Respondent, admitted that all detention charges for April 6, 2022, were unjust and unreasonable [There may have been alternative reasons that Respondent canceled some charges and not others on April 6. Regardless, the burden of proof is on the Complainant, and without more information, I cannot assume that Respondent's cancellation of some charges and not others on April 6, 2022, or other dates, functions as an admission. Therefore, . . . for these containers on these dates, Complainant's claims are DENIED.” 2025 WL 1675843 at *20.

Likewise, in *VCC*, the Presiding Officer held that claimed deficiencies in a carrier's dispute resolution process were insufficient to make out a case of unreasonableness for any specific shipment or charge.

COSCO's invoices and procedures provided mechanisms by which customers, such as Complainant, could contact COSCO regarding demurrage or detention inquiries, although Complainant almost uniformly failed to use them. As COSCO's corporate representative, Mr. Takase explained in deposition:

Q. Now, the demurrage invoices, how were those sent to a customer or a trucker or an NVO?

"Back in 2020, 2021, it was a manual process. So the customers, if they're unable to pick up the container within the free time, so once the free time expires and demurrage is accruing, the container gets placed on hold so the customer, you know, realized the container's on hold and they're unable to pick up, so they would have to submit a request to our office here in Houston, give us the planned pickup date, if they were going to pick up the next day or two days from now. We would calculate the demurrage cost based on their planned pickup date and issue them the invoice to pay against.

.....

Q. And how would, whether it was a customer or NVO, communicate with COSCO about just along the -- along the way the timing of when they would be picking up the container from the terminal?

A. So at that time we had just implemented the customer portal, so it was preferred that the customer would log into the portal online and submit a ticket for those issues. You know, whether they had trouble picking up a container or if they need to get billed demurrage so they can pay it.

Q. Do you know when that portal was first placed into service that customers could utilize?

A. I believe 2019, I believe.

Q. And who had access to use the portal from the customer? Would the -- the customer themselves could choose who from that specific entity could log into the system?

A. Yes. So there's an option to be a certified user, but you can also log in as just a guest.

....

Q. Again, to challenge the detention that was charged by COSCO, was the process the same or different than the process for demurrage charge?

A. I mean, the process is different. They don't go through a portal. They just -- they e-mail it to our Shanghai e-mail address. The staff there will receive the dispute for the detention. For example, if a trucker says, I shouldn't be billed on this day for detention because the terminal gates were closed, it was impossible for me to return a container, that staff would verify those -- that date with the terminal's closure, and if valid they would adjust the invoice and re-issue it. Or if it was only for that day, they would just cancel the invoice.

.....

Q. Okay. So if there was a dispute, this invoice is indicating that someone should make the dispute in writing through the portal itself at the [coshshippingna.freshdesk.com](https://coscoshippingna.freshdesk.com)?

A. Correct. So for -- this is for demurrage disputes and this is kind of, like, a default remark that we have on all the D and D invoices. The detention invoice itself should have a remark somewhere to send detention disputes to a Shanghai per diem at cosco-usa.com or [coscom](https://coscom.com).

CX_001364; CX_001370; CX_001379 (Takase Dep. at 26:2-8, 28:1-4, 12-25, 29:1-7, 52:16-25, 88:4-13).

B. In Sum

As shown above, Respondent has demonstrably complied with its obligations under the Discovery Order, and Complainant's claims to the contrary are both unsupported and false. Accordingly, there is no basis for the Presiding Officer to go outside the record submitted by the Parties and conjure up unwarranted inferences. Further, such inferences would not in any event suffice to meet Complainant's burden of proof under the governing standards established by the Commission and the courts.

II. COMPLAINANT FAILS TO PROVE UNREASONABLE CHARGES UNDER 46 U.S.C. § 41102(c)

Count I of the Complaint avers that Respondent violated 46 U.S.C. § 41102(c) by an unreasonable practice of assessing detention and demurrage charges at a time when ports were congested, and it was difficult for shippers, consignees, and truckers to timely pick up import cargo or return empty containers. As demonstrated immediately below, Complainant has failed to adduce sufficient evidence to prove its claim under the requirements set out by the Commission and the courts.

A. Detention and Demurrage, Defined

Because the crux of this case is detention and demurrage charges allegedly imposed by COSCO, we offer a brief summary about those charges and the benefits that flow therefrom.¹²

Both detention and demurrage are charges relating to a shipper's use of carrier equipment, specifically containers. Detention is a charge assessed by an ocean common carrier when the

¹² Complainant's Brief also includes various references to "storage" charges. As discussed further below, "storage charges" are different from detention or demurrage and are typically imposed by terminals and inland transportation providers (railroads, truckers). They are not generally assessed by ocean carriers, which do not have yards or provide storage, and COSCO specifically does not impose any such charges.

shipper fails to return the carrier's container within a period specified in the ocean carrier's applicable tariff and/or service contract. [RPFF 49]. As the D.C. Circuit explained: "detention charges provide an incentive for the timely return of equipment and compensate the ocean carrier for the opportunity cost of its late return." *Evergreen Shipping Agency (America) Corp. v. FMC*, 106 F.4th 1113, 1115 (D.C. Cir. 2024) ("TCW"). The Commission has focused especially on the incentivizing effect of detention.¹³

Demurrage is a similar charge, which may be assessed by the marine terminal operator and/or by the ocean carrier, for a shipper's failure to timely remove a loaded container from the terminal after it has been discharged from the vessel and made available for pickup. [RPFFs 46 - 48]. Like detention, demurrage serves to promote the timely removal of cargo and to compensate the ocean carrier for the use of its container and the marine terminal for use of its space. [RPFF46].

The point of this brief recitation is not because it is Respondent's burden to demonstrate that the challenged charges served their intended purposes (although they did), but rather to help explain the significant hurdle Complainant must surmount to prove that they *did not*. Complainant here has not even attempted to surmount this hurdle, much less cleared the bar.

B. The Required Elements of a 46 U.S.C. § 41102(c) Claim

The Commission and courts have adopted a framework for deciding when an assessment of detention or demurrage charges violates 46 U.S.C. § 41102(c). *See TCW, Inc. v. Evergreen Line Joint Service Agreement*, Dkt. No. 1966(I), 3 FMC 2d 1 (S.O. 2021), *aff'd* 5 FMC 2d 192 (FMC 2022), *vacated and remanded*, *Evergreen Shipping Agency (America) Corp. v. FMC*, 106 F.4th 1113 (D.C. Cir. 2024); slip op. (FMC Order on Remand February 13, 2025). Pursuant to that

¹³ *See, e.g., Free Time And Demurrage Charges At New York*, 3 USMC 89 (1948). Demurrage charges have a dual composition consisting of an element of compensation for the storage of property and an element of penalty to induce its removal. *Chrysler Corp. v. N. Y. Central R Co.*, 234 ICC 755, 759 (1939).

framework, the Commission (and courts) looks at individual shipments and individual days to determine whether an ocean common carrier improperly charged detention or demurrage for particular days. For a complainant to make out a statutory violation for unreasonable detention/demurrage charges under existing legal standards, a complainant must show, for each specific shipment and for each day for which a charge was assessed, that (1) the complainant (or its agent) could not pick up or return the container on the specific date for reasons outside of their control and (2) the charge assessed for that specific day could not have served to incentivize cargo movement.

The most important aspects of *TCW* are the D.C. Circuit's reversal of the Commission's original decision and the Commission's more recent decision on remand. In the original Commission decision in *TCW*, it held that an entity could not be charged detention for days when it could not return empty containers because the relevant facility was closed on weekends. In so doing, the Commission emphasized the Incentive Principle as expressed in 46 C.F.R. Part 545.5, explaining that:

“The SCO correctly found that the per diem charges were unreasonable because ‘they could not have incentivized cargo movement given that the port was closed on those days, making it impossible for Claimant to return the equipment.’” 5 F.M.C. at 200-01.

Accordingly, the Commission held that the ocean common carrier had improperly charged detention for the specific days when the port was closed but allowed the assessment of detention on days when the port was open. Thus, the Commission expressly recognized that the propriety of such daily charges could be addressed only by reference to the specific days for which they were charged, to see if the complainant were actually precluded from picking up or returning a container for reasons beyond its control, such as closure of the relevant facility.

The D.C. Circuit agreed with the Commission that it is important to consider the incentivizing purpose of a specific charge. But it disagreed entirely with the Commission's conclusion that the inability to pick up or return a container on a particular day is, by itself, sufficient to determine whether a particular charge did or did not incentivize cargo flow, concluding that the Commission "failed ... adequately to analyze the effect of the detention charges at issue here." 106 F.4th at 1114. In this respect, the Court decided that the Commission's single-factor analysis was overly simplistic, holding instead that a determination as to whether a particular charge for a particular shipment on a particular day violated 46 U.S.C. § 41102(c) requires a fact-intensive inquiry into all of the relevant facts concerning the container. In particular, the D.C. Circuit stated: "It was arbitrary and capricious for the FMC to commit to making a circumstantial, fact-bound inquiry into the Interpretive Rule and then, when it came time to apply the rule, to jettison all but its favorite factor." *Id.* at 1118. Likewise, the Court found that the Commission's reasoning was:

"charitably put, implausible. Bright line rule or not, the Commission errs insofar as it maintains a detention charge necessarily lacks any incentivizing effect because it is levied for a day on which a container cannot be returned to a marine terminal. On the contrary, being charged for detention during a port closing announced before the carrier picks up the equipment heightens the incentive to return equipment on time." *Id.*

Thus, under the Court's holding in *TCW*, the Commission may not simply assume, as it had done earlier in that proceeding, that the assessment of detention charges lacks incentivizing effect on dates when the complainant was unable to return containers. Instead, the Commission must analyze all of the relevant facts and circumstances pertaining to that container on that date to see if the charge might promote container flow. In particular, the Court said that the

Commission must consider, *inter alia*, whether a charge for Saturday or Sunday incentivizes a shipper to return the container on Friday (or earlier).¹⁴

The D.C. Circuit's requirement of a fact-specific inquiry into each challenged shipment and charge was identified by the Commission in its remand decision in *TCW*. In particular, the Commission ruled that the ALJ's imposition of a cease-and-desist order was improper because there were no facts on which to evaluate future charges: "The Commission reverses the I.D.'s cease-and-desist order on other detention charges because *case-by-case determinations* are necessary to assess the reasonableness of challenged demurrage and detention practices." Slip op. at 2 (emphasis added). And it likewise stated:

"The Commission reverses the I.D.'s order directing Respondent to 'cease and desist from imposing per diem charges when imposition of per diem charges does not serve its incentivizing purposes, such as when empty equipment cannot be returned on weekends, holidays, and port closures,' absent "extenuating circumstances." I.D., 3 F.M.C.2d at 33. ***The Commission finds it is necessary to make a case-by-case determination*** as to the reasonableness of challenged demurrage and detention practices, examining alleged extenuating circumstances and the arguments put forth by the parties. This approach is supported by the Interpretative Rule and its guidance on applying the incentive principle, as well as the D.C. Circuit's analysis of the Rule. *See* 46 C.F.R. § 545.5(c)(2)(ii), (f); *Evergreen Shipping Agency (America) Corp.*, 106 F.4th at 1118." *Id.* at 118-19. Slip Op. at 18-19 (emphasis added).

As the above discussion demonstrates, both the Commission's and the D.C. Circuit's decisions in *TCW* make clear beyond all misunderstanding that a claim for unreasonable assessment of detention or demurrage charges must be evaluated on a shipment-by-shipment, date-by-date basis. Even if returning a particular container may be impossible on one day, return may well be possible the next day, or the day prior. And, as the D.C. Circuit held, the Commission

¹⁴ The court's conclusion, quoted above, that charging more for failure to return a container provides a greater incentive than charging less is inescapable as a basic matter of economics and common sense, as well as a linchpin of all penalty systems, including the Commission's own system for assessing civil penalties.

may not automatically eliminate charges for days when the facility is closed, at least not when the closure was known in advance, but must instead weigh all of the particular facts and circumstances to determine whether a specific day's charge is consistent with the Incentive Principle, including by incentivizing an earlier return.¹⁵

C. Complainant has not Proven Either Essential Element for any Shipment

As explained above, a Complainant asserting a violation of 46 U.S.C. 41102(c) must prove, for each specific shipment/container and for each day for which a charge was assessed, that: (1) the complainant (or its agent) could not pick up or return the container on the specific date for reasons outside of their control and (2) the charge assessed for that specific day could not have served to incentivize movement of that container.¹⁶ Complainant has adduced no evidence

¹⁵ Additional FMC precedent supports the inescapable conclusion that a complainant claiming a violation of 46 U.S.C. § 41102(c) must prove that claim by addressing specific shipments and specific dates for which per diem was charged. In *Hapag-Lloyd, A.G. – Possible Violations of 46 U.S.C. § 41102(c)*, Dkt No. 21-09, 4 FMC 2d 53, 94 (I.D. 2022), for example, Chief ALJ Wirth found it necessary to look at the alleged violations of the Shipping Act on a container-by-container **and** day-by-day basis, concluding that “BOE did not establish a violation for all eleven shipments or for all days of detention.” Accordingly, she found violations of 46 U.S.C. § 41102(c) only for **some shipments** on **some days**. More recently, Chief ALJ Wirth stated that an allegation of a violation of 46 U.S.C. § 41102(c) concerning multiple shipments made it “likely that [complainant] would need to establish an inability to return each container.” *AOT*, Dkt No. 24-13 (ALJ Order Denying Partial Motion to Dismiss, June 4, 2024). This is, of course, the usual method the FMC uses for determining violations concerning a respondent's actions respecting multiple shipments. See *Anderson International Transport – Possible Violations*, Dkt No. 07-02, 32 S.R.R. 1678 (FMC 2013) (shipment-by-shipment review of whether respondent violated Shipping Act by acting as an unauthorized NVOCC).

¹⁶ To the contrary, the record demonstrates that many of Complainant's delays were self-inflicted. There is for example proof that, because it often was unable (due to warehouse limitations or the like), TZ frequently paid its truckers extra to “pre-pull” its cargo from the container yard, store its cargo in the trucker's yard or warehouse, and pay for extra days to rent chassis upon which loaded containers were kept. See, e.g., CX_000712, CX_000744, CX_000759. Similarly, the record demonstrates that Complainant did not always timely clear its cargo with Customs. See, e.g., CX_002194.

demonstrating either of these essential elements for any specific shipment any specific day, or any specific charge.¹⁷

Dispositively, Complainant has failed even to address, for any individual shipment, why it could not, on any specific date or dates: (i) remove a container from the relevant marine terminal, or (ii) return a container to a designated facility. Nor, of course, has it explained why any such failure was for reasons beyond its control. And it does not, for any specific container, even attempt to demonstrate that a charge assessed by COSCO (very few) could not have incentivized Complainant to pick up or return containers sooner. These failures are fatal to Complainant's case.

Complainant's implicit argument, like that of multiple other failed complaints, including its own against Yang Ming, is that a violation may be found based on the mere fact that there was general port congestion during the relevant time period. Brief at 16, 24, 28. But as shown above, both the Commission and the D.C. Circuit have recognized that mere port congestion cannot, by itself, be a reason to eliminate detention and demurrage, as those very charges serve to reduce the extent to which "congestion begets further congestion." Further, as shown above at n. 16, the record suggests that TZ itself was directly at fault for some, if not all, of the delays.

Not only would TZ's argument require the Presiding Officer to overrule the decisions of the Commission and the D.C. Circuit in *TCW* it would also be flatly contrary to the Commission's

¹⁷ Nothing in the Report of Complainant's expert, Mr. McCown, fills in the missing detail about particular shipments. Indeed, Mr. McCown specifically testified that all he examined was seven Laufer invoices provided to him by Complainant (and apparently no invoices to Laufer from COSCO or others) in opining that more than 400 charges (many non-jurisdictional or not COSCO charges) were unreasonable. RX_000146, RX_000161, RX_000162-RX_000163, RX_000167-RX_000169 (McCown Dep. Tr at 9:24 - 11:23; 69:8-71:3; 75:4-76:14; 77:6-17; 96:11-98:9; 99:22-102:13).

remand decision in TCW, decisions by the Presiding Officer, and decisions by the Commission's Chief ALJ and other ALJs.

1. **TCW.**

Complainant's position that the Commission may just presume that detention and demurrage are improper during times of port congestion flies in the face of what the Commission and Court held in TCW. As the Court stated (quoting in part from the Commission):

"The efficiency of the system, which the FMC terms its "freight fluidity," depends upon prompt return to port of borrowed equipment for its shipment back to Asia. See, e.g., *Impacts of Shipping Container Shortages, Delays, and Increased Demand on the North American Supply Chain: Hearing Before the Subcomm. on Coast Guard & Maritime Transport of the H. Comm. on Transp. & Infrastructure*, 117 Cong. 39 (2021) (written statement of John W. Butler, President & CEO, World Shipping Council).

"Any breakdown in the operation of this cycle can have costly ripple effects. . . . If the number of unreturned containers builds up over time, then there will be a shortage in the supply of containers available to pick up shipments. ***In the Commission's own words, "congestion begets further congestion, which in turn may result in higher costs for everyone in the supply chain."*** Federal Maritime Commission, Report: Rules, Rates, and Practices Relating to Detention, Demurrage, and Free Time for Containerized Imports and Exports Moving Through Selected United States Ports, at 21 (2015)." *TCW*, 106 F. 4th at 114 (emphasis added).

Accordingly, the D.C. Circuit expressly required the Commission to engage in a "circumstantial, fact-bound inquiry" into the specific facts surrounding each claim that a particular detention or demurrage charge was unreasonable, including whether the complaining party was unable to retrieve or return a container through no fault of its own. *TCW, supra*, 106 F.4th at 1118.

As quoted at length above, the Commission adopted this ruling on remand, stating that violations may be found only via case-by-case determinations as to the reasonableness or unreasonableness of a particular practice or charge. Both the Presiding Officer and other FMC

ALJs have recognized that as identified in *TCW*, violations may be found only through a shipment-by-shipment analysis and that the absence of such shipment-specific evidence means that the complainant has failed to meet its burden of proof.

2. Decisions by the Presiding Officer.

The Presiding Officer has thrice held that generalized claims of unreasonable detention or demurrage charges fail to make out a case under 46 U.S.C. 41102(c), because they do not address the specific facts and circumstances surrounding individual shipments and charges. In *VCC*, *supra*, for example, he stated, citing the remand decision in *TCW*, that no violation could be found without specific evidence showing why the particular container could not be picked up or returned on time for reasons outside the complainant's control:

“Due to the fact-specific nature of whether D&D charges are just and reasonable, it is appropriate ***to review the charges related to each individual container in order to determine whether a charge was unjust or unreasonable***. This is precisely what Chief Judge Wirth did in *Hapag-Lloyd A.G.*, which was another case involving allegedly unjust and unreasonable D&D charges, and which was decided before the present case was commenced.” *VCC*, 2025 WL 1662697, at *24 (emphasis added).

Likewise, he concluded:

Applying the fact-specific, container-by-container analysis used in *Hapag-Lloyd A.G.*, I find that Complainant does not carry its burden of showing that any charges identified on VCC000005, or the Charges Spreadsheet are unjust and unreasonable. ***Neither the Complainant's evidence of widespread congestion***, described in witness testimony and email chains, nor the expert witness's analysis (Findings of Fact, ¶¶ 18-35, 52, 76), ***are persuasive***. Such evidence does not satisfy Complainant's ***burden*** of proving facts relating to specific containers and charges. *Id.* at 25 (emphasis added).

The Presiding Officer issued a quite similar decision in a case specifically involving Complainant here. *TZ v. Yang Ming*, *supra*. There, as in *VCC*, the Presiding Officer held that the reasonableness *vel non* of a detention or demurrage charge must be determined on a container-by-container, charge-by-charge basis. And just as in *VCC*, the Presiding Officer held that

Complainant had not proven its case, except for certain shipments as to which there was specific evidence in the record excusing complainant from the delay:

“Applying the fact-specific, container-by-container analysis used in *Hapag-Lloyd, A.G.*, I find that Complainant ***does not carry its burden*** of showing that the charges at issue are unjust or unreasonable as to almost every claim related to the 245 container shipments over which the Commission has jurisdiction. Complainant’s evidence of widespread congestion, including witness testimony, exemplar email chains describing congestion and equipment shortages, and testimony that Supply Source never experienced charges of this magnitude before 2021-2022 ***is not persuasive.***” 2025 WL 1083815, at *20 (footnotes and citations to the record omitted, emphasis added).

Finally, in *AOT, supra*, the Presiding Officer reiterated the need to examine demurrage and detention charges on a shipment-by-shipment, day-by-day, charge-by-charge basis, but found that, in that particular proceeding, the complainant had provided sufficient evidence (including screenshots) that most, but not all, of the containers at issue could not have been picked up or returned on certain days. Accordingly, he found violations for those days when the evidence showed that pick up or return was infeasible due to lack of appointments but denied the complaint with respect to shipments for which such evidence was not provided by complainant.

Complainant does not mention *AOT* in its Brief but does make a quarter-hearted attempt to distinguish *VCC* and *TZ v. Yang Ming*. What it offers, however, is not really a distinction, but rather a simple disagreement with the Presiding Officer: “in taking such a narrow, invoice-by-invoice approach, the ALJ overlooked the broader context in which these charges were imposed” Brief at 30. Complainant also claims that it has provided shipment-specific information but does not direct the Presiding Officer (or Respondent) to where such alleged evidence may be found. And if Complainant disagrees with the approach in *TZ v. Yang Ming* that it calls unduly narrow, it had an opportunity to challenge the Presiding Officer’s conclusions by filing exceptions with the Commission. That Complainant decided not to do so is telling.

In sum, this matter is controlled by the decisions above, each of which became administratively final without action by the complainants or the Commission. Furthermore, as addressed immediately below, the Presiding Officer's decisions are fully consistent with decisions rendered by other Commission's ALJs, with no ruling to the contrary.

3. Decisions by Other ALJs.

The three decisions of the Presiding Officer discussed above are in full accord with the decisions of other FMC ALJs. In particular, we note two decisions – by different ALJs – in cases involving another serial complainant, Samsung Electronics America, Inc. (“SEA”).

In *SEA v. Zim*, Dkt. No. 22-30, Chief ALJ Wirth concluded that claims of unreasonable detention or demurrage charges must be resolved on a shipment-by-shipment, charge-by-charge, day-by-day basis. She explained:

“Regarding liability, SEA did not provide a shipment-by-shipment analysis of the containers that accrued damages, instead arguing that “ZIM’s conduct and practices applied to categories of shipments.” . . . However, reasonableness “must be assessed alongside all other considerations and the specific factual circumstances of the case.” *TCW, Inc. v. Evergreen Shipping Agency (America) Corp. & Evergreen Line Joint Service Agreement*, Docket No. 1966(I), 2025 WL 516256, at *8 (FMC Feb. 13, 2025). SEA points to the *Hapag-Lloyd* case, stating that the undersigned “confirmed that there were no return appointments available during the days on which a trucking company attempted to return the containers within free time.” However, a closer reading of the case will show that a violation was found only for the days “when there is evidence that sufficient appointments were not available” but that a violation was not found where there was no evidence regarding the availability of appointments. *Hapag-Lloyd, A.G.*, Docket No. 21-09, 2022 WL 1239377, at *2, *30 (ALJ Apr. 22, 2022) (FMC approved settlement, June 8, 2022). Therefore, providing sufficient evidence is critical.” 2025 WL 1255544, at *58. Accordingly, Judge Wirth concluded:

“SEA has not established that ZIM is responsible for all of the demurrage and detention charges incurred and has not provided a shipment-by-shipment analysis sufficient to determine why specific containers incurred demurrage and detention charges . . . [T]herefore, these facts do not support a 41102(c) violation.” *Id.* at 59.

Judge Hervey enunciated the same requirements in *SEA v. SM Line Corp.* Dkt. No. 23-01 (Initial Decision, May 28, 2025), stating (emphasis added):

“The Commission’s requirement that the reasonableness of demurrage and detention charges be determined on a container-by-container basis suggests that the question of reasonableness turns on the specific facts and circumstances of each shipment at issue. This conclusion also follows logically from the fact that there are a myriad of circumstances that may be responsible for a container remaining in port beyond its last free day [I]n the absence of a container-by-container analysis with information as to why each shipment remained in port beyond the last free day, as is the case here, there will generally be insufficient information in the record to determine whether or not the demurrage and detention charges at issue serve their primary intended purpose under the incentive principal of promoting freight fluidity, in accordance with section 545.5.” Slip op. at 50.

D. Summing Up.

Although Complainant has identified certain shipments that it believes to be covered by the Complaint (some of which are actually outside the FMC’s jurisdiction as held by the Presiding Officer in granting COSCO’s Motion for Partial Summary Judgment 2025 WL 1675704, at *5, TZ has not demonstrated for any one of those shipments that Complainant (or its agents) was unable to pick up or return each container on the specific days for which charges were assessed. Still less has it demonstrated that such failure to timely pick up or return a container was outside the control of Complainant or its agents.

Finally, Complainant has entirely ignored the requirement imposed by the D.C. Circuit, and followed by the Commission and its ALJs, that Complainant demonstrate for each specific container and date at issue that the imposition of a detention or demurrage charge would have impeded, rather than incentivized, the flow of cargo and containers.

Because Complainant has failed to demonstrate (or even attempt to do so) any, much less all, of the elements it is required to prove as a matter of law, and because Complainant’s proposed substitute for established precedent is inadequate both as a matter of law and of fact,

Complainant's claim under 46 U.S.C. § 41102(c) must be rejected as unsupported by evidence sufficient to sustain Complainant's burden of proof.

III. COMPLAINANT'S ARGUMENTS CONCERNING OTHER ALLEGED PRACTICES ARE OUTSIDE THE SCOPE OF THE COMPLAINT AND IN ANY EVENT WRONG

Having failed to make any evidentiary showing about specific shipments, TZ falls back on vague and generalized accusations regarding Respondent's alleged practices, writ large. None of those newly-concocted claims was made in the Complaint and they certainly have not been litigated by consent. Accordingly, the Presiding Officer has no authority to address them. But even if he did, such new claims are simply an attempted evasion of the requirement to show that specific charges for specific shipments were unreasonable. Furthermore, even if those purported "practices" were to be found unreasonable, there is no showing that the broad practices caused any harm to Complainant, as it is the specific charges that caused the injury, if any, not the generalized practices.

Without conceding that the Presiding Officer has authority to address claims first made in the briefing and not covered by the Complaint, COSCO demonstrates below that TZ's new claims are entirely without merit.

Before proceeding to rebut TZ's specific assertions, however, we note that the Presiding Officer has dealt with, and rejected, the very same type of claims when made by others. In *VCC*, supra, the Presiding Officer concluded:

"Complainant advances other arguments for why the charges here should be considered unjust and unreasonable, but I find none to be persuasive. For example, Complainant also argues that Respondent's dispute resolution policy is unreasonable, and that it seldom adjusts D&D charges. (Opening Brief, at 22-23). The Interpretive Rule provides that in determining whether a D&D charge is just and reasonable, one factor to consider is the: "existence, accessibility, content, and clarity of . . . dispute resolution policies and practices . . ." (46 C.F.R. § 545.5(d)). Assuming, without deciding, that Respondent rarely adjusts D&D charges in the event of a dispute, it remains the case that ***Complainant does not carry its burden***

of demonstrating that any particular charge was unjust and unreasonable. . . . Indeed, all of Complainant's other arguments for how Respondent was unreasonable – e.g., charging exorbitant fees – are ultimately premised on the demurrage, detention, per diem and yard storage fees being unjust and unreasonable. And Complainant does not present any specific evidence to show the unreasonableness of the fees.” *VCC, supra*, 2025 WL 1662697, at *26 (emphasis added).

Likewise, in rejecting a similar claim by TZ against another ocean carrier, the Presiding Officer explained:

“The record contains relatively little information either on how D&D was charged, or how one of Respondent's customers was to dispute any charges. . . . The lack of clarity is not ideal and would tend towards a finding of unreasonableness. Nevertheless, it remains the case that, aside from the few charges for which there is specific evidence, which are discussed below, ***Complainant does not carry its burden of demonstrating that any particular charge was unjust and unreasonable.*** In other words, regardless of the fact that the charges lacked details, or that there is little detail in the record about the dispute resolution process, there is simply not enough specific evidence to allow me to find that Complainant carried its burden of proving that [a specific demurrage charge] was unjust or unreasonable. Or, to paraphrase Complainant, nothing in the record demonstrates that LGI or Supply Source were unable to avoid demurrage charges for [a specified container] through no fault of their own.” *TZ v. Yang Ming, supra*, 2025 WL 1083815 at *21. (emphasis added)).

Even assuming *arguendo* that some general COSCO practice might be found to violate 41102(c), which they cannot, there would still be no authority to assess reparations in the absence of a shipment-by shipment analysis showing unreasonableness for particular containers/charges, which TZ has made no effort to submit. As Chief ALJ Wirth explained in denying reparations despite holding a carrier practice unreasonable:

“The other unreasonable practice regarding preferred truckers proximately caused *some* of the demurrage and detention in the record. However, the record also shows that some of the CNT detention and demurrage charges were properly billed to SEA. SEA brought this proceeding and has the burden of proof. Therefore, proximate cause is met for some of the charges, but it is not possible to determine for which ones or how many. ***While proximate cause is met for liability purposes, when it comes to reparations, there is not sufficient evidence to award damages for these violations.***” *SEA v. Zim, supra*, 2025 WL 1255544, at *78.

A. Complainant Fails to Prove that Respondent's Practices Were Incapable of Incentivizing Cargo Movement.

Under the D.C. Circuit decision in *TCW*, Complainant bears the burden of showing that a challenged charge was not capable of incentivizing the cargo interest (consignee) to act with due speed. And the court made clear that a financial penalty is one way to incentivize such movement. TZ's only nod toward that requirement is to assert that "Respondent knowingly imposed demurrage, detention, per diem, and other accessorial charges¹⁸ despite being fully aware of systemic barriers that made compliance impossible." Brief at 17. This "systemic barriers" argument is just the "general congestion" assertion in different clothes.¹⁹ The Presiding Officer has repeatedly recognized this, as shown in the quotation[s] above, and held such arguments totally unavailing absent specific evidence regarding specific shipments, containers, and days. We note in particular the complaint filed by TZ against Yang Ming, where the Presiding Officer found the very same argument unconvincing in the absence of analysis/evidence regarding specific shipments. The Presiding Officer held that, because TZ made no showing about specific shipments, it had failed to carry its burden of proof to demonstrate violations of the Shipping Act, and accordingly, he denied Complainant's claims. *TZ v. Yang Ming, supra*. To like effect, *see, e.g., VCC, supra; AOT, supra*.

B. Complainant Fails to Prove Respondent's Policies Unreasonable.

Complainant alleges that Respondent had no demurrage, detention, or per diem policies in place for assessing, applying, or disputing charges. Complainant argues that because

¹⁸ As discussed in more detail below, COSCO does not and did not impose "other accessorial charges" beyond detention (also known as "per diem") and demurrage, such as "yard storage," which is a railroad or trucker charge.

¹⁹ TZ effectively admits this fact by arguing that "Respondent's charges unfairly penalized Laufer, Impact Products, and Safety Zone for delays entirely beyond their control," without providing any evidence that any specific delay was beyond the control of those entities.

Respondent's production of tariffs included only provisions dated 2024, such policies and procedures must not have existed prior to 2024. Any such deficiency in the production of policies was fully remedied when Respondent provided the relevant provisions of the tariff for the entire earlier period and Complainant was given time in the amount requested to file a supplemental brief, which it did, in accordance with the Presiding Officer's Order of July 8, 2025.²⁰

Complainant in its Supplemental Brief raises some false quibbles about the production. First, it claims not to have COSCO's demurrage and detention tariff provisions for 2021. As demonstrated above in Part I(A)(1), discussing adverse inferences and the adequacy of COSCO's production, that it totally untrue and reflects Complainant's Counsel's inexperience with public tariffs. The tariff provisions produced by COSCO *cover the entire period* stated in the Complaint. And as discussed further below, TZ had free access, as mandated by FMC regulations, to the COSCO tariff at any time and could have retrieved COSCO's rules regarding detention and demurrage as of any date it chose, including 2021. Thus, there was thus no actual need for COSCO to provide tariff provisions that were readily available to TZ, although COSCO did so nevertheless.²¹

²⁰ Rather remarkably, Complainant suggests in its Supplemental Brief that it was not given enough time between receipt of the tariff pages and the date for filing its supplemental brief. This is hypocritical at best. Respondent in fact provided the tariff pages to Complainant *earlier* than required by the Presiding Officers Order and thus Complainant had even more than the seven days TZ's counsel said they needed. And if that really were too short for Complainant, it could always have requested an extension. Not only did it not do so, but in fact Complainant completed its brief a day early and filed it early the next afternoon.

²¹ The Commission's rules state that a Presiding Officer may decline to order discovery that "can be obtained from some other source that is more convenient, less burdensome, or less expensive." 46 C.F.R. 502.141(2)(ii)(A). Surely it would have been less burdensome for TZ to have used its free internet access to COSCO's public tariff rather than to require production of hard copies from COSCO.

Second, the claim that COSCO had no dispute resolution policies is false. As COSCO explained in its responses to TZ’s interrogatories, CX_002339- CX_002340, and in Mr. Takase’s testimony quoted at length above, CX_001363 (Takase Dep. at 22:15-25, 23:1-14), such practices and policies were in COSCO’s tariff, the relevant provisions of which were produced to Complainant. Furthermore, because COSCO’s policies were set out in its public tariff, Complainant, as a shipper, was charged both by the Shipping Act and by federal maritime law, with an obligation to know them and an assumption that it did know them. *See, e.g., Kraft Foods v. Moore McCormack Lines*, 17 FMC 320, 323 n.4 (FMC 1974) (shipper is presumed to have knowledge of tariff rules) (cited by the Commission in promulgating the Interpretive Rule); *Waterman Steamship Corporation v. General Foundries Inc.*, 1993 WL 13975538 (December 8, 1993) (“a shipper is presumed to know the rates it has to pay in a filed tariff”); *Anton v. Greyhound Van Lines, Inc.*, 591 F.2d 103, 108 (1st Cir. 1978); *W.C. Smith, Inc. v. Yellow Freight Sys., Inc.*, 596 F. Supp. 515, 517 (E.D. Pa. 1983) (shippers are charged with knowledge of tariff). Furthermore, as shown above, Complainant had the ability to access without charge any and all of these tariff provisions – including provisions from earlier versions – ever since it filed its Complaint and even before.²²

TZ asserts that “Respondent significantly exacerbated the difficulties faced by Laufer, Impact Products, and Safety Zone in contesting charges imposed under circumstances beyond their control.” We have no idea what basis TZ has to make assertions about Laufer, and more

²² The Commission’s regulations in 46 C.F.R. Part 520 require each common carrier to “keep open for public inspection in automated tariff systems tariffs showing all rates, charges, classifications, rules, and practice.” 46 C.F.R. 520.3(a). The carrier is required to permit free internet access to its tariffs, and such access “must be made available to any person without time, quantity, or other limitations.” 46 C.F.R. 520.9(a)&(c). The tariff must include five years of historical data and allow the user to choose the specific date as of which the user wants to see the then-applicable rates and rules.

importantly, TZ cites nothing in the record (because there is nothing) to support this claim as to either Laufer or TZ's predecessors. This is just unadorned lawyer's testimony, which may not be considered by the Presiding Officer. Furthermore, while Laufer and TZ and their truckers may have commiserated about their difficulties (Brief at 17), Complainant does not cite any record evidence that Complainant, its predecessors, or its agents, or Laufer, ever submitted a complaint *to COSCO* regarding any of the shipments for which it now seeks reparations.

Finally, as a reminder, this issue has been addressed and rejected before. As quoted above, Chief ALJ Wirth held that, even though an ocean common carrier's general procedures were unreasonable, that did not authorize her to award reparations in the absence of a shipment-by-shipment analysis showing that a specific charge for a particular shipment was unreasonable. And the Presiding Officer, quoted above, reached the same conclusion in another of TZ's multiple complaints that, even if Yang Ming's procedures were unreasonable, he could not find any charges unreasonable, or award reparations, because there was no showing that any specific charge was unreasonable.

C. Complainant Fails to Show that Respondent's Billing Practices Violated the Shipping Act.

Complainant briefly asserts that "Respondent's billing practices failed to meet the FMC's standards for comprehensive and transparent billing." In so doing, TZ cites only to 46 C.F.R. 545.5, the Interpretive Rule. But that section does not address billing at all. Rather, it simply states that, in considering whether a charge was reasonable even though the shipper could not pick up or return a container on a given day, "the extent to which regulated entities have clearly defined the terms used in demurrage and detention practices and regulations, the accessibility of definitions, and the extent to which the definitions differ from how the terms are used in other

contexts.” 46 C.F.R. §§ 545.5(d)&(e). Complainant submits neither record information nor argument supporting a claim it does not make – that COSCO used unclear definitions.

Invoicing practices are subject to a separate section of the Shipping Act and separate FMC regulations, neither of which are cited by Complainant. OSRA22 created new invoicing requirements, set out at 46 U.S.C. 41104(d), and in May, 2024, the Commission issued implementing regulations at 46 C.F.R. 541.1. But neither of these were in effect with respect to many of the invoices at issue, most of which were issued *before* June 16, 2022, when OSRA22 went into effect, and well before the FMC’s implementing regulations went into effect on May 28, 2024. The few COSCO invoices in the record issued after June 16, 2022 clearly meet the OSRA22 standards, and TZ does not say otherwise. Whether the *Laufer* invoices relied upon by TZ did or did not comply with the requirements of OSRA22 has no relevance to *COSCO’s* compliance with those provisions.²³

D. Complainant’s Claim for “Yard Storage” is Frivolous

We hate to flog an expired equine, but TZ’s claim for recovery of “yard storage” is simply another instance where Complainant has failed to show that any specific yard storage charge for any particular container was unreasonable. Indeed, it does not even refer to any specific shipments, to the entity that issued the invoices for yard storage, or to the circumstances surrounding the transportation. Accordingly, even if TZ’s claim was plausible on the merits, it could not result in a finding of violation or reparations for lack of evidentiary proof. But as a

²³ Furthermore, TZ offers no evidence that it was in fact unable to understand the invoices, whether sent by COSCO or third parties, much less that the original claimholder – Laufer, an experienced NVOCC – was unable to readily parse them. There is, for example, no evidence in the record that Laufer, or later claimholders, questioned COSCO about the meaning of any invoices. As TZ stands in the shoes of Laufer, its claim must fail because a claim by Laufer would fail.

matter of both fact and law, TZ's claim that COSCO violated the Shipping Act by charging TZ (or Laufer) with "yard storage" is not plausible and is in fact frivolous.

Complainant's own expert, John McCown testified at deposition that "yard storage" is understood by those experienced in the industry to be a rail or trucker fee. RX_000186-RX_000188 (McCown Dep. Tr. at 169:19-171:21; 174:2-13; 178:6-179:7).

Moreover, Complainant fails to mention that the Presiding Officer has already rejected this very same claim in *TZ v. Yang Ming*. As the Presiding Officer explained in that proceeding:

"As for yard storage fees, I find that Complainant has not carried its burden of demonstrating that Respondent imposes such charges on a normal, customary or continuing basis. Complainant asserts – via a declaration from an employee who claims that he reviewed LGI's invoices – that all the charges, including yard storage charges, originated from Respondent. But, Complainant provided no other evidence that Respondent billed any yard storage charges to Complainant, or to anyone. . . . ***To the extent that there are invoices in the record from LGI that show yard storage fees, there is no indication that the yard storage fees came from Respondent.*** In light of this evidence, I am not persuaded that Complainant has carried its burden of demonstrating that Respondent imposed charges yard storage fees on a normal, customary and continuing basis.

Complainant argues that Respondent should be responsible for yard storage fees anyway. Complainant argues that Respondent was a common carrier and had an obligation to ensure that the cargo was available for pickup. Complainant also argues that Safety Source had no contractual relationship with rail yards. Therefore, Respondent was responsible for yard storage charges. This argument is not persuasive. It is unclear what Respondent allegedly did to make containers unavailable for pickup, or, conversely, what Respondent should have done, but failed to do. Moreover, Complainant ***points to no evidence to support this theory other than the existence of yard storage charges themselves.***"²⁴ 2025 WL 1083815 at 17. (emphasis added).

Although Complainant makes a brief, and futile, attempt to distinguish this case in other respects Brief at 30-31, it makes no mention of the Presiding Officer's ruling about yard storage.

²⁴ To like effect, see *20230930-Dk-Butterfly-1, Inc. v. Orient Overseas Container Line*, Dkt. No. 23-02, 2025 WL 992404 at 16.

In any event, Complainant's argument fails of its own accord. It is premised on the unfounded assertion that "Respondent cannot disclaim responsibility for yard storage charges assessed during the transportation of Impact Products' and Safety Zone's cargo, as these charges arose directly from its obligations as a common carrier." Brief at 21. Although the Presiding Officer need not address this issue, given TZ's failure to put any evidence in the record showing that COSCO assessed yard storage fees, this false claim about the extent of a common carrier's obligations is flatly wrong as a matter of basic transportation law, as Complainant should know.

As demonstrated by each of COSCO's Master Bills of Lading, and as acknowledged by TZ, all of the containers as to which charges are challenged moved under CY-CY (container yard to container yard) transportation. This means that the cargo was loaded on the vessel in a foreign country and unloaded at a U.S. port. Once a container was unloaded in the U.S. and made available at the terminal ("container yard"), COSCO's responsibility for transportation terminated and the consignee's responsibility for collection of the cargo started. Any transportation after that, was not COSCO's obligation, but rather was arranged by Laufer – a common carrier in its own right (NVOCC) – TZ, and/or the truckers TZ or Laufer hired.²⁵

It is well established that an ocean carrier's responsibility under a CY delivery ends once the container is made available at the terminals. As Chief ALJ Wirth recently explained:

"[U]nder "container yard" ("CY") or "port-to-port" terms, . . . the *shipper or consignee* is responsible for the inland movement from the port to the final inland destination. . . .

²⁵ Complainant specifically admits that: "Once containers carrying Impact Products' and Safety Zone's goods arrived at U.S. ports and were unloaded from Respondent's vessels into Respondent's terminals, container yards, or rail yards, *Laufer and Impact Products/Safety Zone contracted with drayage companies to handle the pickup, delivery, and return of the containers.* Brief at 17 (emphasis added); likewise, Brief at 2 ("[o]nce the containers arrived at U.S. ports, *Laufer and Impact Products/Safety Zone coordinated with drayage companies* to handle inland delivery and return of empty containers") (emphasis added).

Under CY terms, [the ocean carrier's] *responsibilities terminated* when the container was delivered to the port or the rail ramp. *SEA v. Zim, supra*, 2025 WL 1255544, at *52 (emphasis added).

See, e.g., SEA v. SM Line, supra, slip op. at 21 (“For shipments under CY terms, the consignee was responsible for dispatching the trucker to pick up the container from the terminal at which it was discharged and transported inland on the final leg of carriage); *Id.* at 22 (“In a “CY/CY term,” the responsibility of SM Line ended when a container was delivered to the port or the rail ramp, and once a container arrived at these locations SEA assumed responsibility for further inland moves for the containers”); *Intermodal Motor Carriers Conference, et al. v. Ocean Carrier Equipment Management Association, et al.*, Dkt. No. 20-14, (I.D. Feb. 6, 2023), 2023 WL 1963455 (F.M.C.), *aff’d and remanded by FMC*, (Feb. 13, 2024), 2024 WL 641501 (F.M.C.); *S.P.F Logistics v. Hapag Lloyd*, Dkt. No. 24-24, (Order denying motion to for summary decision) (May 8, 2025), 2025 WL 1372304 (F.M.C.).

Furthermore, as the Presiding Officer is aware, COSCO does not assess “yard storage.” [RPFFs 55, 102]. As Complainant’s own expert testified, such charges are not typically assessed by ocean carriers, which have no “yards,” but rather by entities involved in the inland transportation after the ocean carrier’s responsibility terminates. RX_000187 (McCown Dep. Tr. 169-179.) They are customarily assessed by entities that do have yards, such as truckers and railroads. Nothing in the record indicates what entity, if any, assessed these charges against Laufer. All we know is that Laufer assessed them against TZ, If TZ has a complaint against anyone regarding yard storage, it is Laufer.

E. Complainant Has No Claim Under OSRA22.

Finally, Complainant adds what can only be described as a comical interlude. In its Brief, but not in its Complaint, Complainant argues out of nowhere that COSCO violated OSRA22. Brief at 22. It does not say which section of OSRA22 COSCO purportedly violated, or how COSCO

purportedly violated such unmentioned section. Furthermore, Complainant makes no allegation that, whatever COSCO did was done after June 16, 2022, the date OSRA22 became effective.

Because no violation of OSRA22 was pleaded or proven, there is no need for COSCO to address TZ's faulty argument any further.

IV. COMPLAINANT HAS NOT PROVEN A VIOLATION OF 46 U.S.C. § 41104(a)(10).

Count II of the Second Amended Complaint avers that Respondent's actions in assessing detention and demurrage charges constituted unreasonable refusals to deal or negotiate with the Complainant's predecessors, in violation of 46 U.S.C. § 41104(a)(10). This claim has been raised by complainants (including TZ) in most of the cases asserting generalized unreasonable detention and demurrage violations. *See, e.g., TZ v. Yang Ming, supra; Samsung Electronics America, Inc. v. Orient Overseas Container Line, Ltd.*, FMC Dkt. No. 24-17; *Samsung Electronics America, Inc. v. COSCO Shipping Lines Co., Ltd.*, FMC Dkt. No. 24-16; *Visual Comfort & Co. v. COSCO Shipping Lines Co., Ltd.*, FMC Dkt. No. 24-01. The argument has thus far been uniformly rejected – being either dismissed for failure to state a claim or denied on the merits.

Indeed, the Presiding Officer himself has denied the same claim by TZ in its complaint against Yang Ming, in an opinion that is now final:

Complainant argues that although Respondent was aware of widespread, systemic problems, Respondent repeatedly failed to respond to legitimate issues raised by LGI [Laufer], and continued to impose demurrage and other charges. Complainant points to three exemplar email chains as evidence that LGI and Safety Source brought concerns to Respondent's attention. Complainant also appears to argue that Respondent had an affirmative duty to initiate negotiations with Complainant. Finally, Complainant argues that Respondent failed to respond appropriately to Complainant's discovery requests.

For there to be a refusal to deal or negotiate, there must be: “an affirmative act by a party to deal or engage in negotiations with the common carrier.” (*OJ Commerce*, 2023 WL 3969857, at *29 (quoting *Definition of Unreasonable Refusal to Deale or Negotiate With Respect to Vessel Space Accommodations Provided by an Ocean Common Carrier* (“*Definition NPRM*”), 87 FED. REG. 57674, 57677)).

Complainant does not carry its burden of demonstrating that there was any attempt by LGI or Supply Source to deal or negotiate with Respondent regarding the charges at issue. Complainant cites to three exemplar email chains where the Respondent's employees were made aware of equipment shortages or congestion. But, there is no specific request for an accommodation or extension of free time in any of the three email chains. (Aside from these three emails, Complainant's witness testified, via a Declaration, that LGI disputed the charges at issue. Without any corroboration, this statement alone is not persuasive. There is no other evidence in the record of any request by LGI or Supply Source for an accommodation. Therefore, Complainant does not carry its burden of proof. *TZ v. Yang Ming*, 2025 WL 1083815, at *24 (citations to briefs and record omitted).

Likewise, in *Samsung Electronics America, Inc. v. Orient Overseas Container Line, Ltd.*, FMC Dkt No. 24-17 (ALJ partial grant of motion to dismiss, Nov. 18 2024), 2024 WL 5714589 (F.M.C.), the then-presiding ALJ dismissed the portion of the Complaint purporting to raise a refusal to deal claim, saying “Without any factual material describing . . . specific attempts at negotiations . . . there is not enough factual material to carry [Complainant’s] claims into the realm of plausibility.” Slip op. at 7. That ruling has now become final.²⁶

Complainant fares no better here. As in the Yang Ming proceeding, TZ has provided no evidence for any container that it or Laufer made a “specific request [to COSCO] for an accommodation or extension of free time.” Instead, it relies on an illogical inference, claiming the fact that COSCO waived some charges means COSCO received requests for waiver of all

²⁶ The Presiding Officer similarly denied refusal to deal claims in *VCC v. COSCO*, stating:

For there to be a refusal to deal or negotiate, there must be: “an affirmative act by a party to deal or engage in negotiations with the common carrier.” (*OJ Commerce I*, 2023 WL 3969857, at *29 (quoting *Definition of Unreasonable Refusal to Deal or Negotiate With Respect to Vessel Space Accommodations Provided by an Ocean Common Carrier* (“*Definition NPRM*”), 87 FED. REG. 57674, 57677)). Complainant does not carry its burden of demonstrating that there was any attempt by RIM Logistics or Complainant to deal or negotiate with Respondent regarding the charges at issue. The record contains no specific request for an accommodation or extension of free time related to any container or bill of lading at issue. Thus, due to the lack of evidence of any request, Complainant does not carry its burden of proof.” 2025 WL 1662697 at 28.

charges (even charges it had not itself imposed). That is of course nonsense: COSCO certainly does at times waive charges on its own, without request. CX_001374 (Takase Dep. Tr. 67: 7-25). That appears to be what happened here.²⁷ But even accepting TZ's false inference, what Complainant's evidence most suggests is that, when TZ or Laufer made a reasonable request, COSCO responded in an affirmative manner. That is the very opposite of a refusal to deal.

Complainant posits that similar, unidentified, requests were made with respect to other, unspecified charges and that COSCO denied them. But this is just an exercise in imagination, The record shows no suggestion of any other requests and even assuming without evidence that some such requests were made and declined, there is absolutely nothing to show that COSCO acted in an unreasonable manner. On the contrary, as stated above, the evidence indicates that COSCO responded reasonably when it got a request and did not respond when it did not receive a request. TZ's suggested assertion otherwise is rank speculation.

Furthermore, Complainant's scant treatment of Count II suggests that it has effectively abandoned its 46 U.S.C. § 41104(a)(10) claim. The (nearly) three pages that Complainant devotes to Count II consist of little, if anything, more than a brief summary of its claim and a pronouncement, as if from heaven, that COSCO violated this section.

Although it may be a matter of gilding the lily at this point, we go on to demonstrate that Complainant has failed to prove the essential elements of a claim under 46 U.S.C. § 41104(a)(10).

²⁷ As explained above, COSCO performed a diligent search for any documented requests for extension or waiver from TZ or Laufer. It found none, supporting the proposition that no specific requests were sent to COSCO. Moreover, if anyone had actually initiated such requests, it was either Complainant or Laufer, so such entities should have records of any such requests. And if it were Laufer, Complainant could have obtained such records under the terms of the assignment agreement or by discovery against Laufer. The fact that TZ did not do so again suggests that the alleged requests are wholly fictitious.

A. Essential Elements of a 46 U.S.C. § 41104(a)(10) Claim.

“To establish a violation of 46 U.S.C. § 41104(a)(10), a complainant must establish that (a) Respondent is a common carrier, (b) Respondent refused to deal or negotiate, and (c) such refusal was unreasonable.” *OJ Commerce, LLC, v. Hamburg Sudamerikanische Dampfschiffahrts-Gesellschaft A/S/ & Co. KG & Hamburg Sud N. Am. Inc.*, FMC Dkt No. 21-11, 2023 WL 3969857, *22 (ALJ June 7, 2023) (*aff’d* August 27, 2024). COSCO acknowledges that it is a common carrier, but disputes Complainant’s untenable claim that COSCO either refused to deal with Complainant or that any such refusal was unreasonable.

As the Commission has held and reiterated, a complainant claiming a violation of 46 U.S.C. § 41104(a)(10) must prove that it was totally shut out by the respondent, not merely that the two parties failed to reach an agreement, or that the complainant did not get what it wanted:

“The Act does not guarantee the right to enter into a contract, much less a contract with any specific terms; such a right has not existed either before or since the passage of the OSRA [1998]. ***All that is required is that common carriers . . . refrain from ' shutting out ' any person for reasons having no relation to legitimate transportation-related factors.***” *New Orleans Stevedoring Co. v. Bd. of Commissioners of the Port of New Orleans*, 29 S.R.R. 345, 351 (ALJ 2001), *aff’d* 29 S.R.R. 1066, 1070 (FMC 2002), *aff’d*, *New Orleans Stevedoring Co. v. Fed. Mar. Comm’n*, 80 F. App’x 681 (D.C. Cir. 2003) (emphasis added).

Likewise, in *Consumer Elec. Shippers Ass’n, Inc. v. Asia North America Eastbound Rate Agreement*, 26 S.R.R. 85, 93 (ALJ 1991), the ALJ recognized that there could be no refusal to negotiate or deal where the carrier made a contract offer, albeit one not fully to [Complainant’s] liking.” *See, e.g., Kobel v. Hapag-Lloyd AG*, FMC Dkt. No. 10-06, 32 S.R.R. 1720 (FMC 2013); *California Shipping Line, Inc. v. Yangming Marine Transport Corp.*, 25 S.R.R. 1213 (FMC 1990).

More recent cases have expounded upon this requirement in the specific context of detention and demurrage disputes. In *Samsung Electronics America, Inc. v. HMM*, Dkt, No. 24-23, (I.D. May 28, 2025), for example, Judge Chintella explained:

[R]efusals to deal are found where a party refused to consider a contract or request for service or space, not where the complainant disagrees with the result of the discussions. . . . Failing to arrive at favorable terms - or any terms at all - following a negotiation is not a refusal to deal or negotiate.” 2025 WL 1723587, at *13.

B. Complainant Has Not Demonstrated That It Was Shut Out.

Complainant has not even tried to show that it was shut out by COSCO. As stated above, TZ has not identified a single instance where it (or the Initial Complainants, or Laufer) asked COSCO to take any specific action and COSCO said no. Indeed, it has not identified or documented a single request made to COSCO; the only documents in the record relating to difficulties were discussions TZ’s predecessors were having with Laufer and their truckers. As COSCO was not asked to do anything, *a fortiori* COSCO did not refuse to deal or negotiate. And even assuming TZ’s unsupported speculation that someone asked for the waivers that COSCO made (*sua sponte* as far as the record indicates), that would show only that COSCO was open and responsive to such requests.

Finally, Complainant asserts that “Respondent also ignored Laufer’s inquiries regarding adjustments to the charges or extensions of free time to account for the extraordinary circumstances. CX_000001–000006. Again, neither TZ nor COSCO has any record of such inquiries. Laufer may have promised TZ that it did (or would) make such inquiries to COSCO, but there is no evidence of it doing so or of how COSCO responded to such fictitious requests.

V. COMPLAINANT HAS NOT PROVEN ANY RIGHT TO REPARATIONS

As demonstrated above, TZ has not proven that COSCO violated any provision of the Shipping Act for any specific shipments. Accordingly, reparations may not be awarded. But even assuming *arguendo* that TZ had established violations of the Act, reparations would still not be permissible.

A. Legal Standard.

As the Presiding Officer explained in another recent complaint proceeding brought by TZ, “Complainant bears the burden of proving that it is entitled to reparations.” *TZ v. Yang Ming*, supra (citing *MAVL Capital Inc. v. Marine Transport Logistics, Inc.*, Dkt. No. 16-16, 2022 WL 2209421, at *3 (FMC June 10, 2022)).²⁸ And to be entitled to an award of reparations, a complainant must prove not only that the respondent violated the Shipping Act, but also: (i) that complainant suffered an “actual injury,” and (ii) that the injury was a proximate result of the proven violations. As the Presiding Officer elaborated:

The Commission explained that: “(a) damages must be the proximate result of violations of the statute in question; (b) there is no presumption of damage; and (c) the violation in and of itself without proof of pecuniary loss resulting from the unlawful act does not afford a basis for reparation.” (*MAVL Capital*, 2022 WL 2209421, at *3 (quotations omitted)). Reparations will only be awarded based on actual damages. (*MAVL Capital*, 2022 WL 2209421, at *3) (citations omitted). “Actual damages means ‘compensation for the actual loss or injuries sustained by reason of the wrongdoing’ which complainants must show to a reasonable degree of certainty.” (*MAVL Capital*, 2022 WL 2209421, at *3 (quotations omitted))” *TZ v. Yang Ming*, supra, 2025 WL 1083815, at *25.

In that case, the Presiding Officer awarded reparations to TZ for the few specific containers as to which TZ had presented evidence that it could not pick up or return the container on specific dates for reasons beyond its control. As to shipments and dates for which TZ did not prove such inability, the Presiding Officer held that neither violations nor a right to reparations had been demonstrated.

Here, as shown above, TZ has failed to prove that it could not, for no fault of its own, make timely pickup or return of *any* of the containers addressed in its Complaint. Accordingly, it has neither proven a violation nor established a right to reparations for actual injury proximately

²⁸ To like effect, see, e.g., *SEA. v. Zim*, supra.

caused thereby. Further, TZ's purported calculation of injury, the Amended Damages Spreadsheet, includes no allegations (much less proof) about the proximate cause of its alleged injuries, as it does not provide any evidence that any of the charges were unreasonable.

As quoted at greater length above, Chief ALJ Wirth held in *SEA. v. Zim, supra*, that even if a complainant proves that a carrier's general detention/demurrage policy was unreasonable and hence contrary to the Shipping Act, the complainant will not have established entitlement to reparations without a shipment-by-shipment analysis demonstrating the specific shipments and dates for which it could not pick up or return containers for reasons beyond its control:

Therefore, proximate cause is met for some of the charges, but it is not possible to determine for which ones or how many. ***While proximate cause is met for liability purposes, when it comes to reparations, there is not sufficient evidence to award damages*** for these violations." 2025 WL 1255544, at 78.

To like effect, see *Samsung Electronics America, Inc. v. SM Line Corp.*, Dkt. No. 23-01, (Slip Op. at 54) (I.D. May 28, 2025) ("In the absence of a container-by-container analysis specifying the cause of each charge in dispute, a complainant generally fails to meet its burden to establish that the damages sought proximately resulted from the unreasonable practices alleged.").

Accordingly, even if TZ was somehow deemed to have proven that one of COSCO's policies was generally unreasonable, it would not thereby be entitled to reparations for shipments where it had not proven that the delay resulted from fault by COSCO or demonstrated that TZ's its failure to timely remove or return the specific container was for reasons beyond its control and that the charge could not have incentivized movement.

CONCLUSION

For the foregoing reasons, the Presiding Officer should dismiss this Complaint.

Dated: August 4, 2025

Respectfully submitted,



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CERTIFICATE OF SERVICE

I certify that on the 4th day of August, 2025, a true and correct copy of the foregoing Respondent's Opposition Brief was served by electronic mail on all counsel of record in accordance with 46 CFR Part 502 and the Commission's Order of May 12, 2020 as follows:

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